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FinTech Disruption in Banking 2041: 20 years from now



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Increasing demand for a digital banking experience from Millennials and GenZs has transformed how the entire banking industry currently operates. The Consumer's growing desire to access financial services from digital channels led to surge of new FinTechs that are reconceptualizing the banking industry.

Innovators in FinTech attacked or ambushed specific niches in Banking; this razor-sharp focus over the past 5 years has brought in unprecedented customer acceptance, which no other business idea ever saw. The wave led by digital payments, moving to digital lending, to micro investments to now neo banking every aspect of banking is being challenged by a wave of FinTechs and aim to democratise access and acceptance from the end customer.

What is in store for us in 2041; while gazing the future is difficult and there is still time for the Star Trek era; let me share what I feel we can expect in Banking:

Birth of the AR branch and end of the physical bank branch: the

inertia that was holding back the habit of customers to still visit their branch office is broken with the pandemic, and mobile banking's hyper acceptance last 5 years clearly indicating end of the physical branches in the years to come. This will give birth to an augmented reality driven, full-fledged bank experience which you carry in your pocket.

Second, is the data railroads for customer relationship and credit decisioning with the evolution of bureaus, account aggregators, GSTN and payment systems integrations. With these, there is a clear path coming in for universal data for credit decisioning and lending. The next 20 years will make sure, that everyone has access to this data and lending will become a single connected decision available to everyone and powering the FinTech Lenders.

Third, end of plastic, physicality, form factor, QR, passwords will pay way for facial recognition, voice and bio-metric form factor for payments, customer authentication and onboarding. We are naturally coded to be unique and this will become our unique signature and digital passbook of the future.

Fourth, true use of AI in FinTech with heightened access to data & quantum computing and the strong move from machine learning to true predictive AI giving way to neural networks and cognitive computing. Allow razor sharp customer risk models, ability to run across products for consumer

or business banking or investment banking.

Fifth, single interface but multiple providers; at the moment we are restricted to the product suite that a particular bank provides but soon this will. Change where in a single interface can open access to products from multiple banks or financial institutions.

I think this will be a game changer; where a single interface will allow you to access any financial product from any product and allow customers in full control and perfectly optimised product suite while specialised niche financial providers cater to exact niche needed for the consumer.

Lastly, the teams that work in FinTech, blurring the lines between data and controllers of intelligence on this data. Access to data and building intelligence of this data will now come to the last mile user it will empower us to take better decisions, understand what's going good and bad in our businesses and predict better.

When you combine the 6 predictions you look at a birth of new financial institution which will behave more than customer engagement platform and are fully connected to a person's life, allowing him to use credit in a fuller manner, allows him to make payments, save in a easier manner, invest to best of his liking & understanding and payments are safer and secure resulting in a building a banking model which is more democratic, simpler and available to everyone. **■**